Kazakhstan's economic diversification will continue to advance in the tech sector but fail to materially reduce hydrocarbon dependence over the next 18 months, leaving the country increasingly caught between Russian sanctions-pressure and Western conditionality without a viable third path.

70%

PROBABILITY

Target: December 2027

Confidence: Medium

ANALYSIS

POLITICAL

Tokayev's multi-vector foreign policy is under more pressure than at any point since 2019. The January 2022 protests and Russia's invasion of Ukraine fundamentally disrupted the old equilibrium. Tokayev has publicly distanced from Moscow on Ukraine while maintaining deep economic ties — a balancing act that satisfies no one fully.

The May 2026 Putin-Tokayev meeting crystallized the dynamic: **Russia is trying to anchor Kazakhstan more firmly into its sanctions-era architecture, and Kazakhstan is trying to turn that embrace into leverage rather than dependence.** The Caspian Sea is becoming a key testing ground for this push-pull.

Domestically, Tokayev has consolidated power since removing Nazarbayev from key positions in 2022, but the authoritarian governance model limits Kazakhstan's ability to deepen Western partnerships. The EU and US remain skeptical — they view Kazakhstan as a pragmatic interlocutor but not a reliable partner, given its EAEU/CSTO membership and democratic deficit.

The next major political inflection point is whether Kazakhstan can maintain its multi-vector posture as great power competition intensifies, or whether secondary sanctions pressure from the West or economic coercion from Russia will force a more definitive alignment.

ECONOMIC

Kazakhstan's economy remains structurally dependent on hydrocarbons. Oil and gas account for ~60% of exports and ~40% of government revenue. Despite years of diversification rhetoric, the non-resource sector remains underdeveloped.

The tech pivot is real but insufficient. Kazakhstan has made genuine progress: a dedicated Ministry of AI and Digital Development, Astana Hub, rising tech ecosystem rankings (top 10 "Rising Stars" in Dealroom.co's 2026 index), and major international forums (GITEX, AI & Digital Bridge). But the ecosystem is small (~89 companies on F6S), government-dependent, and faces brain drain, corruption, and limited private venture capital.

Cryptocurrency mining was a cautionary tale. The 2021–2022 mining boom strained the power grid, caused blackouts and public protests, and was partially banned in 2024. Some operations pivoted to AI data centers, but the episode revealed the gap between Kazakhstan's tech ambitions and its infrastructure reality.

China is the wildcard. BRI investment and trade ($227.9B in 2025) provide an alternative to Western capital, but deepen dependence on Beijing. Chinese tech investment raises data security concerns in Washington similar to the Georgia dynamic with Anaklia port.

Resource curse dynamics persist. Oil revenues fund the state apparatus. Diversification threatens vested interests. Corruption and weak rule of law deter foreign investment outside the resource sector.

MILITARY

Kazakhstan's security architecture remains tied to Russia through the CSTO. Russia's intervention in the January 2022 protests at Tokayev's request demonstrated both the value and the risk of this dependence.

The 7,644 km border with Russia is both an economic lifeline and a security vulnerability. Kazakhstan has no meaningful military capability to resist Russian pressure and relies on diplomacy and multi-vector balancing rather than hard power.

The Caspian dimension adds complexity: Russia wants to use Caspian transit routes to bypass sanctions, which could implicate Kazakhstan in sanctions evasion and trigger secondary sanctions from the West.

TECHNOLOGICAL

Kazakhstan's tech ambitions center on AI. The government has created dedicated institutions (Ministry of AI, Astana Hub, Alem.ai AI Center) and is hosting major international events (AI & Digital Bridge 2026, GITEX Central Asia).

KPMG's 2025 AI Readiness Report assessed Kazakhstan's progress but also highlighted significant gaps — particularly in workforce skills, data infrastructure, and the gap between government ambition and private sector reality.

The partial crypto mining ban (2024) reflects a broader tension: Kazakhstan wants to be a digital hub but lacks the electricity grid and regulatory framework to support it at scale.

The key technological risk is that Kazakhstan becomes a **transit point** for Chinese and Russian technology rather than a genuine innovation hub — processing data and routing trade without developing proprietary capabilities.